ISRG

Intuitive Surgical, Inc. (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$426.70 [Mkt 17-Oct-26]
Market Cap: $150.7B [Mkt 17-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

The textbook wide moat: 85% recurring revenue, an installed base of 11,710 systems compounding at 12% a year, 33.6% operating margins, and a net-cash balance sheet. Surgeon training and credentialing make displacement extremely hard.

2. Recent Trend — 78

Eight straight EPS beats, procedures up 16%, revenue up 19%, and margins expanding. The caution flag is real though: US procedure growth cooled to 12% and the stock trades below its 200-day average.

3. Forward Growth — 80

Procedure growth guided at 13.5-15.5% near the midpoint, the da Vinci 5 upgrade cycle is lifting ASPs, Ion procedures grew 36%, and SP indications keep expanding addressable volume. The Extended Use Program could add volume at the cost of revenue per procedure.

4. Valuation — 45

Forward P/E of 33x is the cheapest in seven years against its own 52.5x average, which is genuinely attractive for this quality. But our DCF base of $290 implies 32% downside, so absolute valuation still demands near-perfection.

5. Catalysts & Risk — 68

Q3 earnings on Oct 20 carry the promised Extended Use detail, a real two-sided event. Procedure momentum and the installed-base

flywheel skew positive, while GLP-1 pressure on bariatrics and a challenged China cap the upside.

Investment Thesis

- **Razor-and-Blades Compounder:** 85% recurring revenue; installed base grows 12% a year; surgeon training and switching costs form a wide moat [Q2'26 ER].
- **De-rated Multiple:** Forward P/E of 33x against a 5-year average of 52.5x, the cheapest in seven years [Press Sep-26].
- **Priced for Perfection Anyway:** Our DCF base of $290 implies 32% downside and the reverse DCF calls the price euphoric, so new money is paying full freight [DCF 17-Oct-26].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 2026)	$2.89B [Q2'26 ER]	+19% [Q2'26 ER]	Up
Worldwide Procedures	+16% [Q2'26 ER]	da Vinci +15%, Ion +36% [Q2'26 ER]	Up
da Vinci Placements	468 [Q2'26 ER]	+18% (395 PY) [Q2'26 ER]	Up
Installed Base	11,710 systems [Q2'26 ER]	+12% [Q2'26 ER]	Up
Op Margin (Q2 2026)	33.6% [Q2'26 ER]	expanding [Q2'26 ER]	Up
Non-GAAP EPS (Q2 2026)	$2.80 [Q2'26 ER]	+28%, beat $2.51 est [Cons]	Up
Recurring Revenue Mix	85% [Q2'26 ER]	stable [Q2'26 ER]	Stable

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$6.22B [10-K FY22]	$7.12B [10-K FY23]	$8.35B [10-K FY24]	$10.06B [10-K FY25]	$11.03B [Yahoo TTM]
Net Margin	21.3% [10-K FY22]	25.2% [10-K FY23]	27.8% [10-K FY24]	28.4% [10-K FY25]	n/a [n/a]
FCF Margin	n/a [n/a]	n/a [n/a]	15.6% [10-K FY24]	24.7% [10-K FY25]	n/a [n/a]

Valuation

Absolute (5/10)

NTM P/E 35.2x [Val 17-Oct-26]
EV/Revenue (TTM) 14.5x [Val 17-Oct-26]
PEG 1.99x [Val 17-Oct-26]
DCF Base $290.13 [DCF 17-Oct-26]

Premium on absolute metrics; DCF implies 32% downside. Quality is real, but so is the price.

Versus Peers (5/8)

No true robotic-surgery comparable [Peers 17-Oct-26]

Measured against its own history: ~37% below its 5-yr average multiple, a relative bargain for a wide-moat compounder.

Versus History (6/7)

Forward P/E 33.3x vs 5-yr avg 52.5x [Press Sep-26]

Cheapest multiple in seven years; the market has compressed the multiple while growth continued.

Catalyst Timeline

20-Oct-2026 [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $2.64, revenue est $2.91B. Management promised detail on the Extended Use Program.

2027 [Mgmt guid]
Extended Use Program (Two-Sided): lowers hospital cost per procedure, which should drive volume but mechanically lowers Intuitive's revenue per procedure. Sizing undisclosed.

Ongoing [Press Oct-26]
SP Indication Expansion (Positive): CE mark for

Top Risk Factors (Item 1A)

1. US Procedure Slowdown: US da Vinci procedure growth cooled to 12% on insurance coverage and premium changes, plus GLP-1 pressure on bariatric volumes. [Q2'26 ER]

2. Valuation: Premium multiple; our DCF base of $290 implies 32% downside and the reverse DCF calls the current price euphoric. [DCF 17-Oct-26]

3. Competition: Medtronic Hugo and J&J are pushing into robotic surgery; China remains challenged by competitive and pricing dynamics. [Press Oct-26]

> transvaginal gynecology in Sep 2026; SP procedures grew 61% in Q2. Widens utilization without new hospital capex.

What Would Change Our Score

Q3 procedure growth above the guided 13.5-15.5% range, or Extended Use detail that expands volume without denting revenue per procedure, would lift Growth and Catalysts. A further US slowdown or a cut to the procedure-growth guide would cut Trend, and the valuation pillar depends on the multiple holding its seven-year low.

Forward Growth Drivers

- Worldwide procedures up 16% with an installed base of 11,710 da Vinci systems compounding at 12% a year [Q2'26 ER]
- da Vinci 5 upgrade cycle: 246 dv5 placements in Q2, adopted by 15,000+ surgeons [Q2'26 ER]
- Ion lung biopsy platform: procedures up 36%, a second high-growth engine [Q2'26 ER]

Missing / Modified Data Log

- FY2021 revenue in income_charts appears anomalous ($1.55B); trend table starts at FY2022.
- Gross margin not in local data; trend table uses net and FCF margins, key metrics carry op margin.
- TTM revenue computed from quarterly data; platform splits from earnings-call press coverage.
- Competitor detail (Medtronic Hugo, J&J) from industry press, not company filings.

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